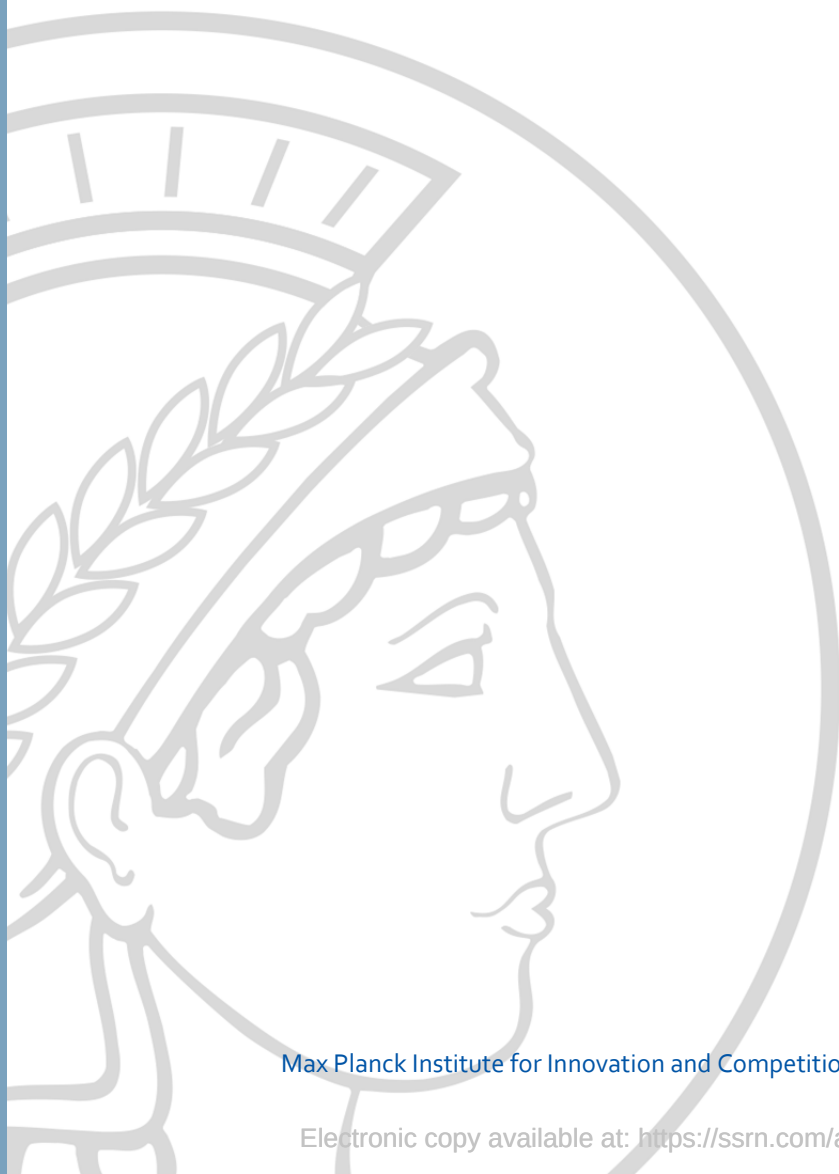


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TOO COMMON, TOO SPLENDID, OR 'JUST RIGHT'?

TRADE MARK PROTECTION FOR PRODUCT SHAPES
IN THE LIGHT OF CJEU CASE LAW



Too common, too splendid, or ‘just right’?

Trade mark protection for product shapes in the light of CJEU case law^{*}

Annette Kur^{**}

Abstract: Due to their capacity to confer ‘eternal’ protection on product shapes, three-dimensional trade marks seem to defy the basic tenets of intellectual property. Registration of such marks is therefore regularly subject to certain restrictions set forth in the law or developed by the courts. European trade mark law is no exception in that regard. While the CJEU insists that shape marks are to be assessed under the same principles as other forms of marks, obtaining protection in practice is quite difficult, which is only partially explained by the different perception of consumers. Furthermore, shapes are the only form of signs that is subject to an absolute and permanent exclusion from protection in order to safeguard competition interests. While the latter provision has been dormant in practice for most of the time, recent jurisprudence has given it more teeth; however, it has also rendered the contents of the provision and its relation to the other obstacles for protection more obscure, making it extremely difficult in practice to distinguish between the different categories. The article gives an overview on the legal situation and recommends a more transparent, balanced approach.

1. Introduction

The option to protect shapes as marks designating the goods they incorporate is not easily reconciled with the basic structure of intellectual property (IP) law. As a general maxim governing the interface of intellectual property and freedom of competition it is postulated that to prohibit competition by imitation of goods embodying creative or inventive achievements is necessary to incentivize competition, but that the market exclusivity thus granted shall only last for a limited period of time, upon the lapse of which copying shall be permitted. Trade marks, on the other hand, are not captured by that scheme, and can therefore be protected without fixed

^{*} Also a comment on CJEU case C-205/13 – *Hauck v. Stokke*. The General Court’s decision in Case T-450/09 – *Simba Toys v. OHIM* (concerning trade mark protection for a threedimensional puzzle in the shape of Rubik’s cube) was handed down after finalization of the manuscript and is therefore not discussed in any detail.

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limits in time: As marks are not destined to protect commercial achievements as such, but only serve to indicate their commercial origin so as to channel the flow of revenues procured on the market back to their proper commercial source, they are not considered as interfering with competition on the production level: as a matter of principle (and absent protection under other IP rights), competitors are free to offer exactly the same product, if only they use a different mark for indicating origin.

This scheme is disrupted when trade marks and the goods they designate are so closely intertwined that one cannot be protected without also ensuring market exclusivity of the other, meaning that the product necessarily shares the 'eternal' protection granted to the mark. Trade mark protection for the shape of goods therefore inevitably results in an irregular feature being added to the systemic pattern of legal protection for IP rights.

On the other hand, this is no cogent reason to deny protection as a matter of principle. After all, protection will only be obtained if shapes, in addition to being perceived as goods of a particular kind, description and utility, are recognized by consumers as a badge of origin and are thus able to fulfill genuine trade mark functions. If protection was denied and the shape were free for everyone to copy this might result in the public being misled as to the commercial origin of the imitations. Furthermore, although protection is not finite in time, the mark will only maintain its protection if and as long as it is genuinely used as a mark in commerce. Finally and most importantly, the principle that products should not enjoy market exclusivity for an unlimited time is not an end in itself, but reflects the public interest in maintaining meaningful and efficient competition in the production of goods. As long as that interest is sufficiently safeguarded by other means than a strict enforcement of the rule that protection must end after a certain time period, there is no predominant harm in trade mark protection per se.

This presentation sets forth how those principles are reflected in current¹ EU Trade Mark law and the decisions interpreting it.

The basic structure of the law covering the issue is as follows. In article 4 of the Community Trade Mark Regulation (CTMR) and article 2 of the Trade Mark Directive (TMD) the "shape of goods or their packaging" are listed as forms of signs that are basically eligible for trade mark protection. The requirements for protection listed in article 7 CTMR and article 3 TMD – in particular distinctiveness and absence of descriptive character, article 7 CTMR (3 TMD) para (1)(b)

¹ A major reform of EU trade mark law is currently pending. However it is expected that (unfortunately) no changes result therefrom for the issues treated here.

and (c) – are to be applied to shape marks exactly as to any other kind of sign. However, in practice the hurdle appears to be much higher for shapes than for other marks (II.). While other forms of marks initially failing the required threshold can be registered after having acquired distinctiveness through use, shapes falling under the exclusion clauses enshrined in articles 7 CTMR (3 TMD) para (1)(e), are excluded from protection with permanent effect. While that provision appeared to be dormant during the first two decades of European trade mark practice, recent CJEU decisions have given it more teeth (III.). However, both in regards of assessing distinctiveness and descriptive character and the application of the exclusion clause the legal situation remains uncertain and intransparent, calling for ways to improve the situation (IV.).

2. *Distinctiveness and descriptive character*

2.1 *Leading CJEU decisions and their consequences*

The principle that, with the exception of the shapes mentioned in article 3(1)(e) TMD, marks consisting of the shapes of goods are not to be treated differently from other marks was first set out in Joined Cases *Linde, Winward and Rado*, concerning the shapes of a fork-lift truck, a torchlight and a wristwatch². The applications had been rejected by the German Patent Office (DPMA) and the decisions were confirmed by the Federal Patent Court (BPatG). Inter alia, the BPatG had contended that “[a] fairly strict test must be applied for the purposes of establishing the originality of [products or their] parts because they themselves are the most important means of description, and if they are monopolised there is a risk that competitors will be impeded in the design of their products and it is at least conceivable that there is a need to preserve availability.”³ The German Federal Supreme Court (BGH) to whom the case was appealed was critical of that view, contending that three-dimensional trade marks consisting of the shape of products should be subject to no stricter criteria than traditional marks⁴. While the CJEU endorsed the BGH’s approach in principle, its practical effects were qualified by the lines that ever since have served as the standard formula for assessing distinctiveness of shape of product marks. On the one hand, “neither the scheme of the Directive nor the wording of [article 3(1)(b) TMD] indicates that stricter criteria than those used for other categories of trade mark ought to be applied when assessing the distinctiveness of a three-

² CJEU Joined cases C-53/01 – C-55/01 – *Linde, Winward and Rado v. DPMA*.

³ Decision by the BPatG as summarized by the CJEU in Case C-53/01 – *Linde v. DPMA*, para 16.

⁴ BGH, as summarized by the CJEU *ibid.*, para 23.

dimensional shape of product mark”⁵, but on the other hand it “is nevertheless true... that it may in practice be more difficult to establish distinctiveness in relation to a shape of product mark than a word or figurative trade mark”⁶. To this, the CJEU added in subsequent decisions that the reason for the difficulties arising with regard to establishing distinctiveness lay in the fact that the “average consumers are not in the habit of making assumptions about the origin of products on the basis of their shape or the shape of their packaging in the absence of any graphic or word element”⁷. Finally, as the threshold required for establishing distinctiveness, it was held that “[o]nly a mark which departs significantly from the norm or customs of the sector and thereby fulfils its essential function of indicating origin, is not devoid of any distinctive character for the purposes of [article 7(1)(b) CTMR].”⁸ This means that in spite of the criteria for assessing distinctiveness being – in theory - the same for all kinds of marks, the CJEU has de facto established a more demanding protection standard for shape of product marks.

In addition to commenting on distinctiveness in the meaning of article 3(1)(b) TMD, the CJEU pointed out in *Linde, Winward* and *Rado* that shapes must also be examined for their *descriptive character*, article 3(1)(c) TMD, given that “[t]he reference [in that provision] to trade marks which consist exclusively of signs or indications which may serve to designate characteristics of the goods or service... is sufficiently broad to cover a wide variety of trade marks, including three-dimensional shape of product trade marks.”⁹

Following that, the Court reiterated¹⁰ that the individual grounds for refusal – distinctiveness and descriptive character – must be assessed independently of each other, each one in the light of the specific kind of public interest informing its application, reminding that “[t]he public interest underlying Article 3(1)(c) of the Directive implies that...any trade mark which consists exclusively of a sign or

⁵ CJEU, *ibid.*, para 46.

⁶ *Ibid.*, para 48, referring to para 40 where it had been pointed out that the decisive test for establishing distinctiveness was to assess whether a mark is able “to serve to identify the product in respect of which registration is applied for as originating from a particular undertaking, and thus to distinguish that product from products of other undertakings.”

⁷ CJEU Case C-218/01 P – *Henkel v. OHIM* (bottle of ‘Perwoll’ detergent), para 52; Joined Cases C-456/01 P and 457/01 P – *Henkel v. OHIM* (washing tablets), para 38; Case C-136/02 P – *Mag Instrument v. OHIM*, para 30.

⁸ CJEU Case C-218/01 P – *Henkel v. OHIM* (bottle of ‘Perwoll’ detergent), para 49 (without adding “only”); Joined Cases C-456/01 P and 457/01 P – *Henkel v. OHIM* (washing tablets), para 39; Case C-136/02 P – *Mag Instrument v. OHIM*, para 31.

⁹ CJEU Joined cases C-53/01 – 55/01 – *Linde, Winward and Rado v. DPMA*, para 69.

¹⁰ CJEU Joined Cases C-108/97 and C-109/97 – *Windsurfing Chiemsee v. Huber and Attenberger*, para 26.

indication which may serve to designate the characteristics of goods or a service within the meaning of that provision *must be freely available to all* and not be registrable.”¹¹ Vice versa, pursuant to the scheme applied by the CJEU the interests of competitors to keep the sign available cannot be taken into account when *distinctiveness* is examined¹².

The CJEU does not address the obvious difficulty that the wording of article 3(1)(c) TMD – being modelled on a provision that dates from 1911¹³ – is geared towards traditional forms of marks such as words or picture marks. Shapes are descriptive in a strict sense only in exceptional cases, such as the bulgy shape of wine bottles that may indicate a certain geographical origin. Apart from such specific connotations the logical problem arises that in order to remain consistent, legal argumentation must either hold that all shapes are descriptive of themselves, or that none is. Once it is accepted that a shape is, or can be, descriptive of the product it incorporates, the same argument can be made for all kinds of shapes, including those that are quite uncommon. Like words or drawings, they represent the product as it is, visualizing its proper characteristics as well as its affiliation with a certain class or variety of goods. For instance, if it is accepted that the shape of a ‘normal’ family car is descriptive because it denotes that the product is a car, the same can be said of a fancy sports car with a distinct design departing significantly from the shapes commonly found on the market. The situation is different from use of fanciful neologisms denoting the commercial origin of staple products: In case of unusual shapes it is only the *object*, and not – as in case of neologisms – the *sign*, i.e. the means of denotation, that deviates from the ordinary.

If, on the other hand, in view of those difficulties the application of article 3(1)(c) TMD (and article 7(1)(c) CTMR) is restricted to shapes that are not merely self-referential but serve to indicate specific qualitative aspects – such as, in the example mentioned above, the geographical origin of wine sold in bulgy bottles – the scope of application of the provision is severely reduced. Given that the CJEU only allows account being taken of competitors’ interests if a trade mark application is allegedly descriptive¹⁴ this means that consideration of competition interests is confined those rare cases.

¹¹ Ibid., para 74 (emphasis added).

¹² CJEU Case C-173/04 P – *Deutsche Sisi Werke v. OHIM* (stand-up pouches), para 63; see also C-379/02 – *SAT.1 v. OHIM* (SAT.2), para 36; C-64/02 P – *Erpo Möbelwerke v. OHIM* (‘Das Prinzip der Bequemlichkeit’), para 37.

¹³ Articles 7(1)(b)-(d) are almost literally copied from article 6quinquies B (2) Paris Convention in the version of 1911.

¹⁴ See above, fn. 12.

As far as can be seen, the CJEU’s considerations in regards of the application of article 3(1)(c) TMD (and article 7(1)(c) CTMR) have remained dead letter in most Member States and also at OHIM. Applications for trade marks consisting in the shape of products are regularly only assessed with regard to (lacking) distinctive character, meaning that competitors’ interests are not – or at least not openly¹⁵ – considered. Probably realizing the problem, the CJEU has reacted by starkly expanding the ambit of Article 7(1)(e) CTMR to ordinary shapes as well as to outstanding designs¹⁶, but the improvement that may mean for the interests of competition comes at the cost of reduced transparency and legal certainty (see below, 3.3).

2.2 Assessment of distinctiveness in practice

2.2.1 Product shapes

Based on the principles enunciated in *Linde*, *Winward* and *Rado*, the distinctiveness of shape of product marks is frequently denied by OHIM¹⁷, with most rejections being confirmed by the General Court¹⁸ and by the CJEU. This concerns inter alia the shape and configuration of washing tablets of varying geometric shapes and colours¹⁹, the

¹⁵ It is possible that competition interests are tacitly considered anyhow; see below, 4.2.

¹⁶ Case C-205/13 - Hauck v. Stokke; see below, 3.3.1 and 3.3.3.

¹⁷ See Eisenführ & Schennen, CTMR (commentary), article 7 marginal notes 111-126, 125, with numerous references to case-law. The only positive decisions reported from the OHIM BoAs appear to have been handed down around the turn of the century (1999-2001), i.e. prior to the CJEU decision in Joined cases C-53/01 – 55/01 – *Linde*, *Winward* and *Rado*. This concerns the following cases: BoA Cases R 272/1999-3 (belt-buckle); R 753/1999-1 (container for recyclable scrap); R 565/1999-1 (wafer); R-202/1998-2 (shape of a bottle (to be protected for bottles, not for the liquid contained therein)). See however General Court case T-450/09 – *Simba Toys v. OHIM*, confirming registration of a three-dimensional puzzle in the shape of Rubik’s cube (decision of 25 November 2014).

¹⁸ See in addition to the cases mentioned in fn. 19 - 25: General Court Cases T-324/01 and T-110/02 – form of a chocolate cigar; T-063/01 – form of a piece of soap; T-262 and T-263/04 (shape of the BiC cigarette lighter); T-15/05 (shape of a sausage); T-358/04 (microphone basket); T-73/06 (shape of a bag); T-351/07 (shape of a canopy); T-8/08 (shape of a shell for foodstuff such as pastry); T-104/08 (shape of a perfume spray flacon); T-449/07 (sausages arranged in the shape of a pretzel); T-78/08 (shape of tweezers with a hole pattern); T-28/08 (shape of a chocolate bar); T-391/07 (handle for garden utensils); T-253 and 254/09 (faceted shape of motor housing); T-137/12 (shape of a vibrator); T-25/11 (shape of a manual tile-cutter); T-409/10 and 410/10 (shapes of a ladies’ bag and a tote).

¹⁹ Joined Cases C-456/01 P and C-457/01 P – *Henkel v. OHIM* (washing tablets); Cases C-468/01 P and C-473/01 P – *Procter & Gamble v. OHIM* (likewise concerning washing tablets). The result was not changed in a subsequent case when in addition to two rectangular layers in different colours (red and white) the tablet showed an oval in deep blue in the middle of the red layer; CJEU Case C-144/06 P –

shape of a torch light²⁰, a bar of soap with concave indents at the sides²¹, the shape of light brown sweets (oval, with a slight oval indent in the middle)²², a chocolate bar in the stylized shape of a mouse²³, a round watch mounted on a square plate with 'postage stamp-like' indents at the sides²⁴ and the shape of a sitting (chocolate) bunny wrapped in golden foil, wearing a pleated red ribbon with a small bell around its neck.²⁵

The same standards as for three-dimensional shapes of products are employed for assessment of figurative marks representing the shape of a product or a part thereof.²⁶ This principle was confirmed by the CJEU *inter alia* in a decision concerning the shape of a guitar head (*Wilfer*)²⁷. The argument made by the applicant was rejected that unlike in case of products sold on mass markets, potential buyers of guitars are more attentive to the shape of the product and are accustomed to distinguish the commercial origin of instruments by the shape of the head. The CJEU endorsed the General Court's reasoning that the standards developed for assessment of shape of product marks are of a general character and do not only apply in mass markets; furthermore, it was held that if consumers are used to distinguishing guitar brands by the shape of their heads this only means that there are a number of shapes on the market that depart significantly from the norm, but it does not mean that this is also the case with regard to the case for which protection is claimed²⁸.

Henkel v. OHIM (washing tablet with blue oval), para 43. See also General Court, Case T-194/01 – *Unilever v. OHIM*.

²⁰ Case C-136/02 P – *Mag Instrument v. OHIM*.

²¹ General Court Case T-63/01, confirmed by CJEU Case C-107/03 – *Procter & Gamble v. OHIM* (soap bar)

²² General Court Case T-396/02, confirmed by CJEU Case C-24/05 P – *August Storck v. OHIM* (shape of light brown sweets). The discussion in paras 28 and 29 about whether the formulation of the General Court that the shape of the sweets was not 'markedly different' from forms commonly found on the market meant that the decision had failed to faithfully implement the standards enunciated by the CJEU demonstrates why courts and authorities usually take care to repeat the CJEU's standard formula without so much as changing a comma.

²³ General Court Case T-13/09, confirmed by CJEU Case C-96/11 P – *August Storck v. OHIM* (3D chocolate mouse).

²⁴ General Court Case T-235/10, confirmed by CJEU Case C-453/11 P – *Timehouse v. OHIM* (watch on a plate with indents).

²⁵ CJEU Case C-98/11 P – *Lindt & Sprüngli v. OHIM* (Golden Bunny II).

²⁶ Apart from the decision in *Wilfer* (next fn.) see also Case C-97/12 P – *Louis Vuitton Malletier v. OHIM*, para 54; Joined Cases C-337 P – C-340 P – *Pi Design et al. v. OHIM* (concerning application of article 7(1)(e) CTMR to the figurative representation of a shape).

²⁷ CJEU Case C-546/10 P – *Wilfer v. OHIM* (order; not available in English), para 59.

²⁸ The argument fails to address the underlying contention by the applicant that the CJEU's observation in Case C-218/01 – *Henkel v. OHIM* (Perwoll bottle), that average consumers are not in the habit of making assumptions about the origin of

The actual result is, of course, influenced by the kind of product to which the mark applies. Thus, partly successful was the application by Louis Vuitton for the shape of a locking device, to be used for a large variety of product. While the mark was rejected and the decision confirmed by the General Court and the CJEU for products that are usually, for functional reasons, equipped with locks, it was found by both Courts that the application was not devoid of distinctive character for ‘nutcrackers in precious metals, their alloys or coated therewith, candlesticks in precious metals, their alloys or coated therewith’, ‘leather or imitation of leather’, ‘jewellery, including rings, keyrings, buckles and earrings, cuff links, bracelets, trinkets, brooches, necklaces, [tie] pins, ornaments, medallions; horological and chronometric instruments and apparatus, including watches, watchcases, alarm clocks’, and ‘umbrellas’.²⁹

Among the cases in which, exceptionally, distinctive character of shapes was endorsed by the General Court is the grille of Jeep cars³⁰. The General Court declared – one month before the CJEU first decided on shape of product marks³¹ – that grilles have become an essential part of the look of vehicles and a means of differentiating between existing models, and that they are therefore “one of the features that are inherently helpful in visually identifying a model or range, or even all vehicles made by the same vehicle manufacturer, as compared to other models.”³² Concerning the actual shape that conveyed the impression of an “not altogether commonplace”, old-fashioned grille³³, the general Court found that it “must be considered to be capable of leaving an impression on the memory of the target public as an indication of commercial origin and thus of distinguishing and setting apart motor vehicles bearing that grille from those of other undertakings.”³⁴ Based on that reasoning, the decision might still stand today³⁵.

Another positive decision on distinctive character concerned the “Beo-Lab” loudspeaker by Bang & Olufsen with its shape reminding

products on the basis of their shape, cannot be applied to all markets alike, but may change according to market sector. It is indeed one of the flaws in the argumentation of the CJEU with regard to (lacking) distinctiveness that although it claims to rely on empirical judgment, it is imposed like a legal guideline rather than being put to empirical testing. See also the criticism below, 4.1.

²⁹ CJEU Case C-97/12 P – *Louis Vuitton Malletier v. OHIM*, paras 23, 32 (citing the findings of the General Court) and 59 (endorsing the General Court’s reasoning).

³⁰ General Court Case T-128/01 – *DaimlerChrysler v. OHIM*

³¹ CJEU Joined cases C-53701 – 55/01 – *Linde, Winward and Rado v. DPMA*.

³² General Court Case T-128/01 – *DaimlerChrysler v. OHIM*, para 42.

³³ *Ibid.*, para 46.

³⁴ *Ibid.*, para 48.

³⁵ However, it would be safer for the General Court - if it wants its decision to stand - to exchange the words “not altogether commonplace” for “departing significantly from the usual shapes found on the market”.

of an organ pipe³⁶. Contrary to the examiner and Board of Appeal at OHIM, the General Court found that the shape is “truly specific and cannot be considered to be altogether common...the whole [appearance] creates a striking design which is remembered easily.”³⁷ Ironically, though, when the case was handed back to the Boards of Appeal at OHIM it was found that the design was indeed so ‘striking’ that it conferred substantial value to the goods and thus was excluded from protection in permanence³⁸.

2.2.2 Packages

Regarding packages, the practice has been established in the jurisprudence of the CJEU that the same principles apply as with regard to product shapes, if the goods contained therein “do not possess an intrinsic shape and must be packaged in order to be marketed.” Thus, in view of a case concerning a bottle containing a liquid detergent, it was held that “for the purposes of examining an application for registration as a mark, [packages], for the purpose of examination, must be assimilated to the shape of the product. That applies, for example, to goods manufactured, in particular, in the form of granules, powder or liquid.”³⁹

Like with regard to product shapes, applications for registration of packages are therefore denied in the large majority of cases⁴⁰. For instance, protection was denied throughout the legal instances for the bottle of ‘Corona’ beer characterized as ‘transparent bottle, filled with a yellow liquid, having a long neck in which a slice of lemon with a green skin has been plugged.’ The General Court had found *inter alia* that with regard to the structure of the mark, it was difficult to imagine other ways of combining an (otherwise indistinctive) beer bottle with a slice of lemon in a single three-dimensional form, and that consequently, the manner in which the elements of the composite mark in question are combined is not capable of giving it a distinctive character.⁴¹

³⁶ General Court Case T-460/05 – *Bang & Olufsen v. OHIM* (Shape of a loudspeaker I), [2007] ECR II-4207.

³⁷ *Ibid.*, para 40.

³⁸ OHIM BoA Case R 497/2005-1; confirmed by the General Court, Case T-508/08 – *Bang & Olufsen v. OHIM* (Shape of a loudspeaker II).

³⁹ CJEU Case C-218/01 P – *Henkel v. OHIM* (Perwoll bottle), para 33.

⁴⁰ *Eisenführ & Schennen*, CTMR (commentary) Art. 7, para 128-134; CJEU Case C-238/06 P – *Develey v. OHIM*; Case C-173/04 P – *Deutsche Sisi Werke v. OHIM*

⁴¹ General Court Case T-399/02 – *Eurocermex v. OHIM*, para 32, cited in CJEU Case C-286/04 – *Eurocermex v. OHIM* (beer bottle with a lemon slice), para 29. In other words, what the applicant had tried to protect was simply the concept of combining beer with a slice of lemon when drinking from the bottle.

Among the few exceptional types of packages accepted by the OHIM BoAs⁴² are the ‘Granini-bottle’⁴³ and a multifaceted perfume flacon reminding, when viewed from above, of a cut gemstone⁴⁴. The General Court endorsed the registration of the Vittel-bottle⁴⁵ and of a bottle made of white transparent plastic, standing on its head the shape of which, when suggested the geometric base form of a kite⁴⁶.

3. Permanent exclusion from protection

3.1 Legal rationale

Pursuant to article 7(1)(e) CTMR and article 3(1)(e) TMD signs are excluded from protection in permanence if they exclusively consist of the shape resulting from the nature of the goods, are necessary to obtain a technical result, or confer substantial value to the goods. Thus, while marks falling short of the requirement of distinctiveness, or being found descriptive or generic, are still able to fulfill the registration requirements after having acquired distinctiveness through use on the market, the option is precluded for shapes falling under that provision.

As pointed out by the CJEU in *Philips*⁴⁷ the “rationale of the grounds for refusal of registration laid down in Article 3(1)(e) [TMD] is to prevent trade mark protection from granting its proprietor a monopoly on technical solutions or functional characteristics of a product which a user is likely to seek in the products of competitors. Article 3(1)(e) is thus intended to prevent the protection conferred by the trade mark right from being extended, beyond signs which serve to distinguish a product or service from those offered by competitors, so as to form an obstacle preventing competitors from freely offering for sale products incorporating such technical solutions or functional characteristics in competition with the proprietor of the trade mark.”⁴⁸

⁴² In addition to the cases related below, see BoA Cases R 321/2000-3 (bottle with lamellar indents); BoA R 337/2000 (baby bottle); BoA R 476/2001-3 (perfume flacon)

⁴³ OHIM BoA Case R0139/1999-1 (Granini bottle).

⁴⁴ OHIM BoA Case R 739/1999-1 (crystal-shaped perfume flacon). All decisions reported above date from before the CJEU judgment in Case C-218/01 – *Henkel v. OHIM* (Perwoll bottle); however, depending on the reasoning they might still hold today.

⁴⁵ General Court Case T-305/02 – *Nestlé Waters France v. OHIM*.

⁴⁶ General Court Case 393/02 – *Henkel v. OHIM* (white transparent bottle), para 15; decided on similar reasoning (in para 40) as in Case T-305/02 – *Nestlé Waters France v. OHIM* (previous footnote).

⁴⁷ CJEU Case C-299/99 – *Philips v. Remington*.

⁴⁸ C-299/99, para 78.

That rationale is well-founded. On the other hand, excluding the possibility for legal protection of signs that, in principle, (also) fulfill a distinguishing function is likewise problematic. If consumers actually perceive a shape as indicating commercial origin and rely on that perception for their purchasing decisions the risk is obvious that they may be misled by identical or (very) similar copies originating from other sources⁴⁹. Furthermore, compatibility with international norms of a permanent exclusion of distinctive signs from protection appears somewhat precarious. Marks that are validly registered in their country of origin can only be excluded from being registered in the same form if the application is rejected for the reasons set out in article 6^{quinquies} B Paris Convention. That a sign may also serve functional purposes, as is typical for the shape of goods, is not listed therein as a valid ground for refusal. Attempts to explain that the exclusion clause in article 3(1)(e) TMD is only a concretization of a specific form of lacking distinctiveness in the meaning of article 6^{quinquies} B (2) Paris Convention⁵⁰ fail to recognize that article 6^{quinquies} C Paris Convention makes it mandatory for the assessment of distinctive character to take account of all factual circumstances, in particular the duration of use, while the gist of article 3(1)(e) precisely lies in the fact that to consider the duration of use and the degree of actual distinctiveness the use may have conferred on the sign is to be disregarded.

In view of those difficulties it appears appropriate to apply the provision with caution. In accordance with the policy underlying the exclusion clause it should arguably be reserved to the situation that precluding trade mark protection is a necessary and proportionate means to maintain efficient protection on the respective market. On the other hand, under a teleological approach it may also be appropriate to apply the exclusion clause *mutatis mutandis* to constellations that are not captured by the black letter (→ below).

3.2 Scope of application

Article 7(1)(e) CTMR refers to ‘shapes’. The use of that general term instead of referring, as in article 4 CTMR, to the ‘shape of goods [or

⁴⁹ It is of course possible in those instances that offering such products by unrelated companies is prohibited under article 6(2) of the directive on unfair marketing practices (UCP); see also CJEU Case C-48/09 – *Lego Juris v. OHIM*, hinting in that direction in para 61. However, under systematic aspects it appears suboptimal if protection that is denied for absolute grounds under trade mark law is nevertheless granted ‘through the backdoor’ based on unfair practices regulations; it would be preferable under the aspect of transparency and consistency of the law that a common approach is taken under both legal instruments.

⁵⁰ BGH, decision of 03.04.2008 - I ZB 46/05 – *Philishave*.

their packaging]’ might be interpreted that the provision is intended to cover *both elements alike*, i.e. packages as well as the product as such. However, pursuant to the CJEU packages are only comprised by article 7(1)(e) CTMR if the goods designated by the sign do not have an intrinsic shape, such as liquids or other amorphous goods that cannot be marketed in loose form (or for which such marketing is completely unusual⁵¹)⁵². The distinction must be evaluated in the light of the basic policy principle underlying the exclusion clause, namely that it shall prevent granting trade mark proprietors a monopoly on technical solutions or functional characteristics of a product. From that perspective, it even appears arguable that packages are not to be comprised in the provision at all, because even though they are necessary to contain the product and make it marketable, they are clearly distinct from the functional advantages that the product – washing powders, gels, liquids – may have. If, on the other hand, the functional or decorative advantages of the products’ presentation on the market are equally considered as falling under the exclusion clause, it is not immediately evident why this should not also apply to products that do not depend, at least physically, on being sold in packages. It is true, however, that the greater degree of dependency of liquids or amorphous goods on physical containment makes the competition concerns in regards of the ‘need to keep free’ more urgent than in other cases. Lastly, it should be noted that article 7(1)(e) CTMR applies in full if a container is not claimed as a trade mark for the product to be sold therein, but for its proper species of goods, i.e. containers.

The notion of ‘shapes’ primarily refers to items in three-dimensional form. However, it also applies to figurative signs consisting of the *naturalistic representation* of the goods covered by the sign⁵³. In the latter case, courts and competent authorities cannot confine their analysis under article 7(1)(e) CTMR to a visual screening of the graphical elements as shown in the representation, but they must include and evaluate other information available to them, such as samples of the product concerned that are available on the market⁵⁴.

Furthermore, application of article 7(1)(e) CTMR is only warranted if the sign *exclusively* exists of a shape. Protection of otherwise functional shapes is therefore possible if the distinctive

⁵¹ As a matter of principle, products the form of granules or powder (flour, grains, washing powder etc.) can also be sold out of vats or barrels and do not have to be filled into specifically shaped containers in order to be marketed. However, that would be a rare exception that does not impact the general assessment which is informed by market reality.

⁵² CJEU Case C-218/01 P – *Henkel v. OHIM* (Perwoll bottle), paras 33-37.

⁵³ CJEU Case C-337/12 P – *Pi Design v. Yoshida and OHIM*, para

⁵⁴ *Ibid.*, paras 58 et seq., 64.

character of the sign follows from other elements than the shape, such as, in particular, a word mark forming an integrated part of the surface. Thus, in spite of the technically necessary character of its contours and measurements the shape of the LEGO building block remains protectable in the form actually used on the market, with the word mark Lego imprinted on the nodes. Vice versa, elements of surface decoration may also be taken into account for excluding protection where they are claimed as an element of the shape, even if the shape itself, in its three-dimensional form, is not impacted thereby. This follows from *Benetton*, where the CJEU found no fault in the referring court’s contention that the arrangement of stitches on the front and back side of jeans registered as shape marks conferred substantial value to the jeans, irrespective of the fact that the shape, i.e. the cut of the jeans, was not impacted by the stitchery⁵⁵.

As article 7(1)(e) specifically applies to the *shape* of goods, its application appears to be excluded in regards of marks that have no connection with the shape, such as colours or sounds. Under a strict interpretation the same would apply if protection is claimed for ‘touch marks’ consisting in the haptic impression resulting from a specific physical or chemical treatment of product surfaces. In such cases article 7(1)(e) CTMR can only be applied by analogy. It is unclear, however, whether it is actually possible to apply the provision *mutatis mutandis* where marks that do not consist of the shape of goods raise similar concerns from the perspective of competitors and the general public⁵⁶.

The CJEU has denied applicability of article 3(1)(e) with regard to Apple’s trade mark application for the design of its flagship store⁵⁷. It is not clear, however, whether this was supposed to address and settle the issue of application *mutatis mutandis* – meaning that application of other forms of signs apart from shapes is definitely excluded – or whether the door still remains open for an application by analogy. The issue could be of importance for colours having functional properties, or for sounds resulting e.g. from the technical

⁵⁵ CJEU Case C-371/06 – *Benetton v. G-Star*. The result would have been different if the mark had not claimed the shape of the jeans as such, but only the ornamental elements of the stitchery, e.g. as a position mark.

⁵⁶ In a decision by the Board of Appeals at OHIM regarding the swiveling doors of Lamborghini sports cars (OHIM BoA Case R 772/2001-1), this was considered as basically appropriate. However, in that decision the issue could remain open as the motion mark that Lamborghini had applied for was considered as indistinctive anyhow. However, the General Court in case T-450/09 – *Simba Toys v. OHIM*, para 53 rejected the argument that the shape of the product for which protection was claimed (Rubik’s cube) results from the rotating function of the elements of which the cube consists.

⁵⁷ CJEU Case C-421/13 – *Apple v. DPMA*, para 24.

performance of the goods they shall designate (e.g. the sound of a motorbike)⁵⁸.

If a shape is both aesthetically appealing and functional (or resulting from the nature of goods) several grounds for exclusion may apply cumulatively⁵⁹. However, the shape will only be excluded from protection if at least one of those grounds applies in full. If, therefore, a shape results from the nature of goods but for one specific feature which is, however, determined by its technical function, the principle that the individual grounds for exclusion must be applied and assessed separately would result in the shape being considered as registrable⁶⁰.

3.3 *The exclusion clauses specified*

3.3.1 *Shapes resulting from the nature of goods*

The first ground for permanent exclusion from trade mark protection – shapes resulting from the nature of goods – was largely understood as presenting the purest example of the principle that trade mark protection shall not be used to foreclose competition on specific markets. Accordingly it was interpreted as meaning that the exclusion clause becomes operative (only) if there is no other shape available for products of the same species, meaning that protection of the shape would result in a genuine monopoly that is, in principle, unlimited in time. As an example for that situation reference used to be made to the application for a spherical shape designating balls⁶¹, or to natural shapes, such as a banana for bananas⁶², or an apple for apples.

Based on that interpretation, the clause remained without a meaningful scope of application in practice. It is true that for most

⁵⁸In the Study prepared by the Max-Planck Institute on the ‘Overall Functioning of the European Trade Mark System’ (Trade Mark Study; available at http://www.ip.mpg.de/files/pdf2/mpi_final_report_with_synopsis.pdf) the proposal had been made to delete the restriction to shapes, and to exclude all signs from protection that exclusively consist of features which confer on the proprietor a monopoly on technical solutions or functional characteristics of a product which a user is likely to seek in the products of competitors. Furthermore it was proposed to delete the exclusion from protection of goods conferring substantial value to the goods. Trade Mark Study, Part III para 2.37.

⁵⁹CJEU Case C-205/13 – *Hauck v. Stokke*, para 41.

⁶⁰According to the referring court this is the situation at stake in the conflict between Nestlé and Cadbury concerning the shape of the KitKat chocolate bar; see *Nestlé v. Cadbury*, [2014] EWHC 16 (Ch) (Arnold J.). The case is currently pending before the CJEU as Case C-215/14 – *Nestlé v. Cadbury* (Kit Kat). However, under the CJEU’s broad interpretation of the first ground of refusal (shapes resulting from the nature of goods) the issue could become moot in practice.

⁶¹Fezer, *Wettbewerb in Recht und Praxis* (WRP) 2010, 165, 178

⁶²OHIM Examination Guidelines, Part B, of 1.1.2014

products certain indispensable elements can be identified that result from the ‘nature’ of those same goods. Thus, a table needs a plain horizontal surface and elements (legs) sustaining it, a chair needs a seat, a backrest and legs (while a stool can do without backrest), a knife needs a handle and a blade, etc. However, those examples also show that the specifications are rather abstract; different from the example of a spherical shape for balls it is not possible to draw concrete conclusions for the shape of goods forming part of the respective product varieties. For instance, tables may be round, oval, rectangular, or irregularly shaped; they can have four legs or more (or less); the form of the legs may vary, etc. Likewise, chairs, knives, spoons and forks come in all kinds of different varieties, and none of those is actually necessitated by the nature of the goods themselves. In accordance with these considerations it was frequently assumed in practice that the existence of alternative shapes on the market indicates that article 7(1)(e)(i) does not apply⁶³.

However, that line of reasoning is no longer compatible with the CJEU’s decision in *Hauck*, regarding protection of the Tripp-Trapp chair. The case concerns the design of a kid’s chair that can be adapted to a child’s growth from infancy to maturity, and that also represents a much acclaimed example of high-quality design. When in an infringement suit against the maker of a similar chair the defendant raised a counterclaim for invalidity, the Supreme Court (Hoge Raad) of the Netherlands referred to the CJEU inter alia the question whether the first indent of article 3(1)(e) TMD only refers “to a shape which is indispensable to the function of the goods”. The CJEU⁶⁴ denied the question, pointing out that such a narrow interpretation would “result in limiting the products to which that ground for refusal could apply to (i) ‘natural’ products (which have no substitute) and (ii) ‘regulated’ products (the shape of which is prescribed by legal standards)”. Instead, the concept of a ‘shape which results from the nature of the goods themselves’ should be taken to mean that shapes “with essential characteristics⁶⁵ which are inherent to the generic function or functions of such goods” must, in principle, also be denied registration. This is motivated by the danger that “reserving such characteristics to a single economic operator would make it difficult for competing undertakings to give their goods a shape which would be suited to the use for which those goods are intended”. Moreover, the essential characteristics to which the Court refers are considered to

⁶³ See General Court Case T-122/99 – *Procter & Gamble v. OHIM* (bar of soap), para 55. The same line of reasoning is regularly employed by the German BGH; see GRUR 2010, 138 para 15 – *Rocher-Kugel*; GRUR 2008, 510, para 14 – *Milchschnitte*; GRUR 2006, 679 – *Porsche Boxster*; GRUR 2001, 32, 33 – *Gabelstapler*.

⁶⁴ CJEU Case C-205/13 – *Hauck v. Stokke*.

⁶⁵ For the assessment of the ‘essential characteristics’ of goods, reference is made by the CJEU to the LEGO decision (see below).

be those “which consumers will be looking for in the products of competitors, given that they are intended to perform an identical or similar function”. Overall, the CJEU responds to the question posed that “the first indent of Article 3(1)(e) of the trade marks directive must be interpreted as meaning that the ground for refusal of registration set out in that provision may apply to a sign which consists exclusively of the shape of a product with one or more essential characteristics which are inherent to the generic function or functions of that product and which consumers may be looking for in the products of competitors.”⁶⁶

The exact consequences of the CJEU’s reasoning are difficult to assess. It is obvious that the Court wants to broaden the scope of the first ground for exclusion, but the criteria offered are not easily transposed into useful guidelines that courts and offices can base their decisions on. In particular, it raises the question as to how the first ground for refusal relates, on the one hand, to the second ground (technical necessity of the shape) and, on the other hand, to the criteria governing inherent distinctiveness. Regarding technicality, the CJEU’s reasoning about the generic function or functions that consumers expect to be performed by the shape is very close to the policy considerations informing the appraisal under the second ground for refusal, to which the CJEU also makes reference. It appears therefore that both grounds overlap in a manner that is not entirely clear. Assumingly, the first one incorporates a somewhat broader concept of functionality than the second, to the result that products essentially consisting of features that serve, in one way or other, the purpose for which they are meant to be used, are excluded from protection for good already under the first ground of refusal. Not much room seems to be left under that concept for arguments about whether the shape is actually ‘technically necessary’ for its purpose.

Quite uncertain is also the distinction between shapes that are considered as merely indistinctive and those that fall into the ambit of the exclusion clause. As indicated above, shapes are usually considered as indistinctive if they do not depart significantly from the norms or customs of the sector concerned⁶⁷. It might be argued that shapes conforming to the norms and customs of the sector are exactly those that “consumers will be looking for in the products of competitors.” Where, then, should one draw the borderline between permanent and (potentially) only temporary exclusion from protection? Of course, it has always been uncontentious that the closer a shape resembles the basic, simple form staple articles of that kind are most likely to assume, the smaller are the chances for registration. However, under the narrow interpretation of the first ground for

⁶⁶ CJEU Case C-205/13 – *Hauck v. Stokke* para 24-27.

⁶⁷ CJEU Case C-136/02 – *Mag Instrument v. OHIM*, para 31.

refusal that seems to have been governing in the EU prior to *Hauck*, even plain shapes did have a chance – as much effort as it may cost – to acquire distinctiveness through use on the market. With the broader interpretation that the CJEU now seems to enunciate, much of that kind of investment could be in vain⁶⁸.

The size of the impact the *Hauck* decision has in practice will also depend on the definition of the class of goods that shall be designated by the shape. The narrower the definition, the more likely it is that essential elements of the shape are considered as resulting from the nature of the goods. For instance, in the dispute between Nestlé and Cadbury concerning protection for the shape of Kit Kat chocolate bars⁶⁹ it was held by the examiner that an essential feature of the shape consists of its ‘slab’ form, which results from the nature of the goods to which the shape is actually applied, i.e. moulded chocolate bars or moulded chocolate⁷⁰. If, however, the assessment proceeded from the class of goods to which the application refers, i.e. cake and pastry, the same conclusion may not have been reached as easily. A similar issue was addressed by the German Federal Supreme Court (BGH) in a case concerning the ‘Kinder’ cream slice consisting of a sandwich formed by two thin rectangular slices of dark brown cake with a rich layer of white creamy substance between them⁷¹. The product had been registered as a ‘bakery product, namely ready-made cake’. The BGH pointed out that in its opinion, the classification mentioned in the application should be used as the basis for assessing whether the shape resulted from the nature of the goods. However, the BGH also added that even if the narrower category ‘cream slice’ were employed, the broad variety of cream slices offered on the relevant market militated against an exclusion from protection. The latter contention, however, would have to be reconsidered under the CJEU’s case law.

3.3.2 Technically necessary shapes (article 7(1)(e)(ii) CTMR)

Earlier than the *Hauck* decision, the bar against protection of technically necessary shapes was interpreted by the CJEU in two seminal decisions, relating to the triple headed, clover-leaf shaped razor (‘Philishave’) made by Philips and to Lego’s basic building

⁶⁸ The investments may still prove useful with regard to claiming protection claimed under unfair competition or passing-off.

⁶⁹ See *Nestlé v. Cadbury*, [2014] EWHC 16 (Ch) (Arnold J.). The case is currently pending before the CJEU as Case C-215/14 – *Nestlé v. Cadbury* (Kit Kat).

⁷⁰ Examiner’s decision at para 70, quoted in *Nestlé v. Cadbury*, *ibid.*, para 28.

⁷¹ GRUR 2008, 510, para 16 – *Milchschnitte*.

block⁷². Both shapes were previously covered by patents that had long expired, while the firms tried to maintain and defend the exclusive market position gained during the patents’ lifetime *inter alia*⁷³ by registering the shapes as marks⁷⁴.

Considering the application of article 3(1)(e)(ii) TMD with regard to Philips’ triple headed razor, the CJEU pointed out that the provision “is intended to preclude the registration of shapes whose essential characteristics perform a technical function, with the result that the exclusivity inherent in the trade mark right would limit the possibility of competitors supplying a product incorporating such a function or at least limit their freedom of choice in regard to the technical solution they wish to adopt in order to incorporate such a function in their product.”⁷⁵ Recognizing that the shape of articles (other than pure artworks) always tends to be functional to some extent, the CJEU noted in *Lego* that the exclusion clause is qualified by the terms ‘exclusively’ and ‘necessary’, thereby ensuring that solely shapes of goods are banned from registration which only incorporate a technical solution, and whose registration as a trade mark would therefore actually impede the use of that solution by other undertakings⁷⁶. However, the presence of one or more minor arbitrary elements in a shape does not change the result, if all of the shape’s essential characteristics are still dictated by the technical solution to which the sign gives effect. It is only if “the shape of the goods at issue incorporates a *major non-functional element*, such as a decorative or imaginative element which plays an important role in the shape” that the registration can be accepted (emphasis added). The question is not expressly addressed by the CJEU whether a difference is to be made in that regard between purely decorative elements and word marks, in the sense that in presence of the latter the sign is regularly found registrable, even if the mark appears in small size and without influencing the contours and the functionality of the shape as such. In practice, however, the compatibility of the latter approach with article 7(1)(e)(ii) CTMR seems to be taken for granted⁷⁷.

⁷² CJEU Cases C-299/99 – *Philips v. Remington* and C-48/09 P – *Lego Juris v. OHIM*. Of acute interest in this context is also General Court Case C-450/09 – *Simba Toys v. OHIM* (protection for the shape of Rubik’s cube, decided 25.11.2014), which cannot be discussed here in detail.

⁷³ In addition, in countries such as Germany where protection under trade mark law could not be obtained, imitators were (in most cases successfully) sued by Lego on the basis of unfair competition law.

⁷⁴ Those attempts had been successful initially in a number of Member States and – in case of the Lego building block – also at OHIM.

⁷⁵ CJEU Case C-299/99 – *Philips v. Remington*, para 79.

⁷⁶ CJEU, *ibid.*, para 48.

⁷⁷ CJEU, *ibid.*, para 52. That result appears plausible, because if a word mark is imprinted on a functional shape it will be that element, and not the shape as such, which mainly guides consumers’ attention, even if it is not particularly eye-catching

In *Philips*, the CJEU did not specifically address the influence previous patenting may have on the assessment of technical necessity. In *Lego*, however, the point is made that “[w]hen the shape of a product merely incorporates the technical solution developed by the manufacturer of that product and patented by it, protection of that shape as a trade mark once the patent has expired would considerably and permanently reduce the opportunity for other undertakings to use that technical solution. In the system of intellectual property rights developed in the European Union, technical solutions are capable of protection only for a limited period, so that subsequently they may be freely used by all economic operators.”

On the other hand, it would go too far to conclude that if a shape – or rather the technical solution embodied therein – has been covered by a patent this will automatically exclude subsequent trade mark protection. If it is clear e.g. from the patent documents eventually consulted in the examination or from the competent authority’s own analysis that the shape is rather accidental than forming an expression of the patented function, meaning that the technical solution can be embodied in a variety of different shapes, there is no reason to exclude the shape for good. The same is true in case that the presence of imaginative or decorative elements determines the shape to an extent that competitors easily have access to alternative shapes with equivalent functionality which, as they do not show the same non-functional elements, are neither identical nor similar to the registered shape.

However, the CJEU has emphasized that the existence of alternative shapes with the same functionality is not sufficient per se to lift the legal ban on protection of functional shapes. The Court thereby declared inapplicable a maxim previously informing legal practice in a number of jurisdictions as well as at OHIM, where the availability of alternatives had been quoted as a reason for allowing registration of highly functional shapes, including the Lego building block. As a motivation for discarding that approach the CJEU in *Philips* referred to the black letter, pointing out that “there is nothing in the wording [of article 3(1)(e) TMD] to allow such a conclusion.”⁷⁸ More explicit reasoning is offered in *Lego*, where the Court stated that even in case of available alternatives, “registration of a purely functional product shape is likely to allow the proprietor of that trade mark to prevent other undertakings not only from using the same shape, but also from using similar shapes. A significant number of

in its size and positioning. However, in order to avoid results that are detrimental to competition the principle must be heeded strictly that likelihood of confusion cannot be established on the basis of similarity or even identity of elements that are as such excluded from protection

⁷⁸ CJEU Cases C-299/99 – *Philips v. Remington*, para 81.

alternative shapes might therefore become unusable for the proprietor’s competitors. That would be particularly so if various purely functional shapes of goods were registered at the same time, which might completely prevent other undertakings from manufacturing and marketing certain goods having a particular technical function.”⁷⁹

There are, without doubt, good reasons for the CJEU’s unwillingness to accept proof of available alternatives as a panacea against exclusion of technical shapes from trade mark protection. Experience shows that it is practically always possible to demonstrate that certain technical functions may be performed by a variety of shapes; applying that standard would render the provision meaningless in practice. On the other hand, the CJEU’s reasoning is not free from flaws. In particular the fact that the black letter of article 7(1)(e) CTMR and the respective provision in the TMD do not expressly mention non-availability of alternatives gives no sound reason why the requirement of *necessity* (“shapes that are necessary...”) should not be interpreted as resting on the proposition that alternative shapes cannot be found. Furthermore the argument that the shape, once registered, would extend to alternative shapes that are similar in appearance to the registered mark presupposes that it would not be possible to restrict the protection granted in a meaningful manner so as to avoid such anticompetitive effects. By its reasoning the CJEU fails to address the crucial point in this matter, namely whether and why the de facto monopoly position enjoyed by firms like Philips and Lego in their respective markets must finally come to a definite end. Instead of clarifying its position in that regard, the CJEU invites speculations about the possibility of claiming protection against exact imitation under unfair competition law even after cancellation of the trade mark registrations⁸⁰.

⁷⁹ C-48/09 P – *Lego Juris v. OHIM*, para 56, 57.

⁸⁰ CJEU, *ibid.*, para 61: “[T]he position of an undertaking which has developed a technical solution cannot be protected – with regard to competitors placing on the market slavish copies of the product shape incorporating exactly the same solution – by conferring a monopoly on that undertaking through registering as a trade mark the three-dimensional sign consisting of that shape, but can, where appropriate, be examined in the light of rules on unfair competition. Such an examination is, however, outside the scope of these proceedings.” It is important to note, though, that if protection were granted against imitation as such, this would in any case jeopardize the principles governing the interface between intellectual property (and adjacent areas) and free competition; see BGH, decision of 02.12.2004 - I ZR 30/02 - *Klemmbausteine III*. What might be claimed under unfair competition regulations such as the UCP directive is not that the exact imitation is enjoined as such, but only that measures are taken to ensure that consumers are not misled about commercial origin, e.g. by clearly affixing the competitor’s mark on the packages as well as (eventually) on the product.

Another aspect remaining unclear after *Philips* and *Lego* concerns the applicability of the *ratio legis* underlying article 7(1)(e)(ii) CTMR in cases that do not fall exactly into its ambit. This concerns in particular the situation that the shape is not necessary to *produce* a technical result but that, *vice versa*, the shape *results* from applying a certain technique. The issue was addressed to some extent in the case concerning Lamborghini’s application for protection of the characteristic upward motion of the swiveling doors. While the applicant had argued that the provision was inapplicable because the application concerned a motion and not a shape, the 1st Board of Appeal found that to be a formal and unconvincing argument and denied registration *inter alia* due to article 7(1)(e)(ii) CTMR⁸¹. Even though it did not concern a specific shape, the application was held to consist solely in a characteristic mechanic movement to be equated with the technical function of a car door. The additional problem was not addressed in the decision that the causal relationship which article 7(1)(e)(ii) CTMR seems to suggest was inversed, i.e. that it was the technical design of the door that caused its movement, while the movement itself had no specific technical effect⁸².

An answer to that question may result from the *Kit Kat* case currently pending before the CJEU⁸³. The dispute concerns the refusal by the hearing officer at the UKIPO to register the shape of the moulded chocolate bar sold under that mark, in spite of the acquired distinctiveness claimed by the applicant (Nestlé). The refusal was based among others on the contention that the angle of the sides as well as of the breaking grooves separating the individual ‘fingers’ results from the method of manufacture, as the moulding process employed to produce the bar requires a specific release angle that cannot be changed or varied to an extent that the differences could be perceived by consumers.⁸⁴ The question was therefore referred to the CJEU *inter alia*⁸⁵ whether article 3(1)(e)(ii) TMD also applies to

⁸¹ OHIM BoA Case R 772/2001-1. In addition to the functionality argument the BoA found that the shape was devoid of distinctiveness; see already above, fn. 56.

⁸² Closely similar problems to those found in the *Lamborghini* decision (cited in the previous fn.) would result from an application for a touch mark regarding the haptic feeling caused by a specific treatment of surfaces.

⁸³ CJEU Case C-215/14 – *Nestlé v. Cadbury* (*Kit Kat*), (pending). For details of the dispute and the questions posed see *Nestlé v. Cadbury*, [2014] EWHC 16 (Ch) (Arnold J.).

⁸⁴ Examiner’s decision at para 78, quoted in *Nestlé v. Cadbury*, *ibid.*, para 29.

⁸⁵ In their entirety the questions posed are the following:

1. In order to establish that a trade mark has acquired distinctive character following the use that had been made of it within the meaning of Article 3(3) of Directive 2008/95/EC¹, is it sufficient for the applicant for registration to prove that at the relevant date a significant proportion of the relevant class of persons recognise the mark and associate it with the applicant’s goods in the sense that, if they were to consider who marketed goods bearing that mark, they would identify the applicant; or must the applicant prove that a significant proportion of the relevant class of

shapes that are the necessary *result* of a technical method of manufacture rather than producing a technical function themselves⁸⁶.

3.3.3 Value-conferring shapes

While the ban on protection of technically necessary shapes is frequently interpreted as serving the aim of precluding protection for shapes that rather belong into the remit of patent law, exclusion of shapes conferring substantial value to the product thus embodied seems to be destined to separate trade mark protection from the areas covered by industrial designs or copyright law. In line with that concept, the CJEU in *Hauck* points out that the legal objective underlying the bar against trade mark registration of shapes conferring substantial value to the goods is the same as in the second ground for exclusion, namely “to prevent the exclusive and permanent right which a trade mark confers from serving to extend indefinitely the life of other rights which the EU legislature has sought to make subject to limited periods.”⁸⁷

More specifically the CJEU addresses the question whether the fact that a product, apart from its aesthetic value, also has other advantages such as safety, comfort and liability, will prevent its exclusion from protection; in other words: whether application of the third ground for refusal shall be confined to the situation that the products are bought primarily because of their aesthetic appeal, and not because they are appreciated for other intrinsic values. In line with the broad approach the CJEU has also espoused with regard to the interpretation of the first two grounds for exclusion, the Court denies

persons rely upon the mark (as opposed to any other trade marks which may also be present) as indicating the origin of the goods?

2. Where a shape consists of three essential features, one of which results from the nature of the goods themselves and two of which are necessary to obtain a technical result, is registration of that shape as a trade mark precluded by Article 3(1)(e)(i) and/or (ii) of Directive 2008/95/EC?

3. Should Article 3(1)(e)(ii) of Directive 2008/95/EC be interpreted as precluding registration of shapes which are necessary to obtain a technical result with regard to the manner in which the goods are manufactured as opposed to the manner in which the goods function?

⁸⁶ The question is also of relevance for the final outcome of the cancellation claim filed by Sima Toys against registration of the shape of Rubik’s cube for three-dimensional puzzles. In its decision of 25.11.2014, the General Court applied a strictly literal interpretation, holding that Article 3(1)(e)(ii) is inapplicable if the shape results from the function it performs, without being necessary to perform a function; see General Court case T-450/09 – *Simba Toys v. OHIM*, para 53.

⁸⁷ CJEU Case C-205/13 – *Hauck v. Stokke*, para 19; see also para 31 where the CJEU refers to “the aim of preventing the exclusive and permanent right which a trade mark confers from serving to extend indefinitely the life of other rights which the EU legislature has sought to make subject to limited periods.”

that question, pointing out that “the concept of a ‘shape which gives substantial value to the goods’ cannot be limited to the shape of products having only artistic or ornamental value, as there is otherwise a risk that products which have essential functional characteristics as well as a significant aesthetic element will not be covered. In that case, the right conferred by the trade mark on its proprietor would grant that proprietor a monopoly on the essential characteristics of such products, which would not allow the objective of that ground for refusal to be fully realized.”⁸⁸

What the consumers see in the shape and why they buy the product thus incorporated is therefore but one factor among others that the CJEU lists as follows: the nature of the category of goods concerned, the artistic value of the shape in question, its dissimilarity from other shapes in common use on the market concerned, a substantial price difference in relation to similar products, and the development of a promotion strategy which focuses on accentuating the aesthetic characteristics of the product in question⁸⁹.

Again, the Court’s argumentation may be well-meant, but it has a number of rather serious flaws. Thus, while it makes sense to apply the second ground for refusal in the light of the aim not to prolong (patent) rights that are limited in time, the situation is hardly comparable when it comes to the third ground for refusal. If, as the wording might indeed suggest, the provision was originally promulgated for the purpose of separating the areas of trade mark and industrial design law, it has grossly missed its mark in practice. This may not have been obvious at the time of enactment of the TMD and the CTMR, but under the European design legislation⁹⁰ it has become an undeniable fact. Industrial design protection is available for any design that is novel and has individual character, with the threshold for protection being set at a fairly low level. Moreover, even without registration unregistered Community design protection applied to any design that fulfills the general requirements and is made available to the public within the territory of the EU. If all those designs, at least in principle, should be excluded from trade mark protection under article 7(1)(e)(iii) CTMR, registration would only remain possible for shapes that are either not novel or too banal to own a sufficient degree of individual character, which seems a rather absurd consequence. Furthermore, if a shape has been or still is registered as industrial design, this does not mean that it is validly protected; with substantive examination lacking, the right might be void, and thus no ‘time-limited monopoly’ is actually conferred. How should offices deal with

⁸⁸ Ibid., para 32.

⁸⁹ Ibid., para 35.

⁹⁰ Consisting of the European Design Directive (71/98/EC) and the Community Design Regulation (Reg. (EC) no. 6/2002; CDR)

that? Should they perform a design examination in the framework of the exclusion clause, so as to exclude only shapes that were (or are) indeed protected as designs?

The CJEU, possibly being aware of the thin ice the argument rests on, does not even mention design registration (or design protection) in its catalogue of criteria to be considered for the assessment under article 7(1)(e)(iii) CTMR. Instead, reference is made to the ‘artistic value’ of the shape, which seems to signal that only particularly precious design shall be targeted. Apart from the fact that it places courts and offices in the awkward position of a design jury condemning instead of rewarding outstanding creative efforts, this also diminishes the effectiveness of the sanction insofar as prize-worthy designs will regularly attract copyright protection and are therefore protected anyhow for a much longer period than ordinary design.

Further misgivings result from the fact that the criteria listed by the CJEU are typically of a temporary nature; this concerns in particular pricing and marketing campaigns. The consequences deriving from those factors, however, will be permanent: Once a shape has been found to confer value to the goods, it is barred from protection forever, irrespective of changes in the overall circumstances. This was demonstrated in *Benetton v. G-Star*⁹¹ where the CJEU, without further reasoning about the fact that the jeans were bought for the brand rather than for their shape, referred to the wording of Article 3 (3) TMD pursuant to which the obstacles listed in Article 3(1)(e) TMD cannot be overcome by acquired distinctiveness.

Similarly the CJEU declares in *Hauck* that the perception of the public is not, or at least not crucially, relevant; instead the assessment is meant to rely on objective factors. However, with the likely exception of ‘artistic value’, those objective factors are as well subject to the dynamics of the market. And when changes occur, they will regularly affect the type and impact of competitive advantage conferred by the sign. In particular, where a shape has initially attracted consumers by its aesthetic appeal, but has later-on developed a high degree of distinctiveness and is mainly appreciated for that reason, the basic rationale for Article 3(1)(e) TMD first articulated by the CJEU in *Philips* does not apply any longer. An absolute and permanent ban against trade mark protection for attractive shapes, which excludes any consideration of the fact that the aesthetic appeal may eventually become inferior to the message the shape conveys about commercial origin – meaning that it is primarily bought for the

⁹¹ C-371/06 *Benetton v. G-Star* [2007] ECR I-7709.

brand, and not for its design⁹² – does not make sense. At least, contrary to what appears to follow from *Benetton*, it can hardly be the attractiveness displayed at the early stages of marketing which accounts for the everlasting nature of that ban. Such a rule would go far beyond other grounds for refusal, including the ban against deceptive marks that are also assessed from the perspective of the public’s perception as of the application date, without considering whether in the past the term may have had a certain potential to mislead.

It is yet another question, whether the shape – beyond the information it has eventually come to convey about commercial origin, and unrelated to the goodwill it represents – still confers such strong competitive advantages to the prospective right holder that to keep it free from monopolisation appears ‘essential’ for others to engage in meaningful competition. In line with the general rationale underlying the exclusion clause, such competition-based considerations could indeed militate in favour of maintaining the ban, even when the perception and evaluation by the public are changing. However, that strain of argument as well does not support an inflexible rule imposing a permanent ban.

4. *Summary evaluation and proposals*

4.1 *The current situation*

The CJEU’s jurisprudence in regards of marks consisting of the shape of goods or their packaging is unsatisfactory for several reasons. This concerns the assessment of Article 8 (1) (e) CTMR as well as that of Article 8 (1) (b) and (c), and it also concerns the convoluted relationship of those provisions to each other.

Contrary to the standard contention of the Court that the criteria applying to the assessment of shape marks are no different from other forms of marks with the sole difference resulting from the fact that the relevant public is not in the habit of perceiving shapes of marks as an indication of origin, the rule is employed in practice rather as a binding precept than as relying on an empirical judgment. Hardly ever has the CJEU’s assumption been put to the test, and it is also not

⁹² According to the statement submitted by the referring court in *Benetton* (previous fn.) to the CJEU, that had actually been the case in regard of the jeans – they were bought primarily because the consumers recognized them as coming from a particular enterprise, and not because they liked the stitching so much. Whether the Beo Lab loudspeaker has also reached that stage, or whether the consumers’ decision to buy is still dominated by the design aspect would have to be investigated.

seriously questioned whether the situation has changed in the time span since the Court first ruled on the issue. Furthermore, if the statement is valid in general, it might nevertheless have to be modified in regards of specific market sectors where the perception of the target public is different. In response to such allegations that were brought forward e.g. in *Wilfer*⁹³, the CJEU stated that its jurisprudence had not only been developed in view of mass markets⁹⁴, thereby seemingly ruling out any differentiation based on the specificity of the goods or services involved.

By requiring that a shape, in order to be considered distinctive, must significantly depart from the norm or customs of the sector concerned⁹⁵ the CJEU has introduced a criterion that is rather suitable for protecting creative achievements than for testing the ability of a sign to function as a mark⁹⁶. Indeed, the detailed assessment in decisions by OHIM BoAs or the General Court of the individual elements of shapes and the overall impression they convey, as well as the survey of ‘prior art’ regularly included for establishing whether the shape differs from currently available forms, often resembles an examination for purposes of design or even patent protection. The difficulties are further enhanced by the fact that after *Hauck* a distinction must be made between shapes that are so commonplace that their essential elements are inherent in the generic function of the product, meaning that the shape falls under the permanent bar from protection, and shapes that are not significantly different from the customs of the sector, but which may still acquire protection through use. To add another complexity, designs that are sufficiently different from ordinary shapes must be distinguished from those that are excluded from protection due to their specific aesthetic appeal: if the thin and invisible borderline is overstepped between what is ‘just right’ in the way the shape departs from the ordinary and what is ‘too much’ of distinction, any chance for obtaining protection is lost.

It remains a mystery how it shall be possible in practice to sort out those different layers and establish appropriate and feasible criteria to identify the ‘champions’ in this contest, i.e. those lucky shapes that are neither too plain nor too splendid to be accorded inherent distinctiveness. Most likely the standards applied for the assessment will vary between OHIM and individual Member States

⁹³ CJEU Case C-546/10 P – *Wilfer v. OHIM*, para 47.

⁹⁴ *Ibid.*, para 55.

⁹⁵ See cases cited in fn. 8, in particular CJEU Case C-136/02 P – *Mag Instrument v. OHIM*, para 31.

⁹⁶ It is further unclear whether the CJEU submits that a shape departing significantly from common forms found on the market is per se distinctive, or whether the Court only wants to say that ‘significant difference’ is a necessary, but not a sufficient prerequisite for the mark to be found indicative of commercial origin.

and probably also within one and the same institution, turning registration of shape marks more than ever into a lottery game⁹⁷.

4.2 Possible solutions

In order to improve the situation, several solutions can be considered. The first and most radical would be to abolish the possibility to register the shape of products for the goods embodied therein. Protection of shapes would then be a matter for design (and/or copyright) protection only, eventually complemented on a case-by-case basis by unfair competition law, passing off, or similar (non-harmonised) regulations. However, it is not granted that the situation would actually become more transparent by such a move. Furthermore, the compatibility with international law of the solution appears doubtful: pursuant to article 15(1) TRIPS, all signs that are capable to distinguish the goods or services of one enterprise from those of another must be eligible for registration. Although product shapes and packages are not expressly mentioned in the provision it can hardly be denied that they fall into its ambit.

Second, it could be considered to formally stipulate that shape of product marks are only registered upon evidence of acquired distinctiveness. Arguably such a solution could be achieved already on the basis of the law as it currently stands, based on the fact that, due to the perfect amalgamation of the sign and the object to which the message relates, a shape is necessarily descriptive in a self-referential way. Also, contrary to what appears to be a wide-held belief, by listing the shape of goods or their packaging as signs eligible for protection in article 4 CTMR the European legislature did not make it mandatory that an option for registration based on inherent distinctiveness must be granted. Furthermore, requiring evidence of acquired distinctiveness as a prerequisite for protection would be compatible with article 15 TRIPS, and it would align legal practice in Europe with that in the USA⁹⁸ and in Japan. While the approach would be less favourable in principle to the interests of prospective trade mark proprietors than the current situation it would at least put an end to the legal uncertainty and the risk of unequal treatment and arbitrary decision-making that seem to worry trade mark practitioners

⁹⁷ Already now the vagaries of a seemingly arbitrary practice are of more serious concern to users of the trade mark system than the restrictive attitude of OHIM and the national authorities, see Trade Mark Study (supra fn. 58), Part III para 2.25 and the following text.

⁹⁸ US Supreme Court, *WalMart Stores v. Samara Bros.*, 529 U.S. 205 (2000); for packages see *Two Pesos, Inc. v. Taco Cabana, Inc.*, 505 U.S. 763 (1992).

to-date even more than the effects of OHIM's and the European Courts' restrictive attitude towards protection of shape marks⁹⁹.

On the other hand, requiring evidence of acquired distinctiveness as a mandatory precondition for registration would impose a very high burden on applicants, in particular regarding CTMs¹⁰⁰. It is true that the CJEU has contended in *Lindt & Sprüngli* that it would go too far in proceedings for registration of Community (shape) marks to require evidence for distinctiveness acquired in all Member States separately¹⁰¹. However, it is unclear by now what exactly that means, and whether it will lead to a substantial change in practice. Already in the past OHIM as well as the General Court have been ready in principle to extrapolate from the data submitted for a limited number of Member States that acquired distinctiveness exists also in those parts of the EU for which no detailed evidence can be provided; however, hardly ever was the documentation substantial enough to sustain the claims¹⁰².

Irrespective of that, the CJEU made it clear in *Linde, Winward* and *Rado* that applications for shape marks shall not be rejected per se¹⁰³. Also, the argument could be made that if lesser means are available for encompassing the pertinent risks it would be disproportional to demand establishing acquired distinctiveness on a regular basis.

⁹⁹ Trade Mark Study (supra, fn. 58), Part III para 2.25.

¹⁰⁰ In the Trade Mark Study (supra, fn. 58) Part III para 3.80 it was therefore proposed that as a compromise solution that exclusive, unchallenged use of an indistinctive sign in a large part of the EU over a substantial number of years should be taken as prima facie evidence of acquired distinctiveness. As a corollary it was proposed that the current catalogue of limitations be complemented by permitting use of an indistinctive sign under the general condition that the use complies with honest practices. This would allow using shapes registered as CTMs in those parts of the EU where the sign has not been used and is therefore not regarded as a badge of origin, unless this is done in a manner that leads to serious confusion or takes unfair advantage of the registered mark. The second part of the proposal was accepted by the Commission; however, the requirements for acquired distinctiveness were not addressed by the Commission proposals at all.

¹⁰¹ CJEU Case C-98/11 P – *Lindt & Sprüngli*, para 62.

¹⁰² See in particular General Court case T-28/08 – *Mars v. OHIM* (shape of a chocolate bar), para 55: "it should be noted that almost all of the evidence filed by the applicant concerns only six Member States, namely the United Kingdom, Belgium, France, Germany, Italy and the Netherlands. In respect of the other nine Member States which were part of the Community at the time when the trade mark application was filed, the applicant has provided only figures on sales, advertising expenditure and market shares. The results of the surveys carried out in the abovementioned six Member States and the witness statements taken in three of those States cannot be extrapolated to the other nine Member States on the sole basis of those figures".

¹⁰³ Joined Cases C-53/01 – C-55/01 – *Linde, Winward and Rado v. DPMA*, para 75 (last sentence).

The task remains therefore, without changing the wording and structure of the law, to interpret the protection criteria in a manner that avoids or at least diminishes the argumentative flaws and frictions obscuring current legal practice. It is argued here that the key for such an endeavor lies in dismantling the CJEU’s rigid separation between the grounds of refusal. As shape marks are hardly ever descriptive in the ordinary sense (apart from their inherent self-referential capacity), this means for competition interests that they must either completely be left out of account – if shapes are examined under the aspect of distinctiveness – or that they are valued so strongly – in the context of the permanent exclusion clause – that no option for protection exists. No room is left for a modulated appraisal that factors competition concerns into a full consideration of all relevant aspects.

Different from such an ‘all or nothing’-approach the CJEU has acknowledged with regard to colours per se that in order to avoid granting competitive advantages through registration the interest of competitors to keep a colour available for use by others forms part of the assessment of distinctiveness¹⁰⁴. Thus, rather than insisting on a strict separation between the individual grounds for refusal and the different categories of public interests allegedly informing each one of them, the assessment of the protection requirements for colours per se is based on an *integrated approach* employing distinctiveness as an overarching notion that encompasses all interests involved.

There is no reason why the same kind of comprehensive assessment should not equally be applied to other kinds of signs, in particular those which – as the shape of goods – are of limited supply, without necessarily being descriptive in the ordinary sense¹⁰⁵. Only in this way can it be ensured that a ‘full and thorough’ examination is conducted that complies with the maxim of undistorted competition that the CJEU itself has repeatedly invoked as the binding precept of its decisions.¹⁰⁶ On the basis of such an approach the evaluation of a shape’s distinctiveness would take account of the relevant public’s perception as well as the effects of the registration on competition. It is submitted that rather than presenting anything new, the approach articulates (in a more straightforward way than what the CJEU’s case-

¹⁰⁴ CJEU Case C-104/01 – *Libertel v. Benelux Trade Mark Office*, para 54, 60.

¹⁰⁵ The CJEU never gave a clear explanation for its assessment scheme. By default of more explicit reasoning it must be submitted that there are no other, more substantial grounds for the artificial separation made between the criteria than the perceived obligation to faithfully implement the structure imposed by the additive nature of the criteria listed in article 6^{quinquies} B (2) Paris Convention.

¹⁰⁶ CJEU Case C-517/99, Rn. 21 – *Merz & Krell v. DPMA* (‘Bravo’), para 21; Case C-104/01 – *Libertel*, para 56; this means that the examination must be “thorough and full in order to ensure that trade marks are not improperly registered”, Case C-363/99 – *Postkantoor*, para 123; Case C-265/09 P – *Borco Markenimport v. OHIM* (‘α’), para 45.

law seems to permit) the motives typically underlying the restrictive attitude adopted by courts and authorities towards shape mark protection. The CJEU's reference to the different perception of consumers of such marks stands on shaky grounds anyhow, and if it was true at the time when *Linde*, *Winward* and *Rado* were decided, the attitude of consumers may have changed in the meantime. If the Court's dictum is nevertheless treated as a fixed precept that is not to be called into question based on empirical evidence, this is only plausible if it is tacitly admitted that it also rests on a second, normative element, namely the competition concerns regularly evoked by the protection of product shapes. Spelling this out more openly would add transparency to a line of jurisprudence that otherwise appears as nebulous and inconsistent.

When the distinctiveness of shapes is analysed under competition aspects, the assessment is appropriately informed by the policy grounds underlying the provisos in article 7(1)(e) CTMR. This means that registration should be excluded, without prejudice to the possibility of establishing acquired distinctiveness under article 7(3) CTMR, the closer the shape resembles the basic form of products of that variety, or the more functional elements it incorporates, or the more it is appreciated for its aesthetic appearance, in particular in market sectors where eye appeal is a particularly relevant selling argument.

Allowing the policies enshrined in article 7(1)(e) to transpire into the interpretation of article 7(1)(b) may relax misgivings that the provision would become meaningless if it is applied restrictively. It could also pave the way for a less black-letter oriented, teleological understanding of article 7(1)(e) CTMR that is flexible enough to encompass changes on the relevant market or in consumer behaviour that have a substantial impact on the necessity of keeping a sign available for use by others.